

Taiyo Yuden (6976)

FY2025 results: Briefing leaves negative impression, but maintaining bullish stance

Neutral: FY2025 operating profit was slightly below guidance, but the impact of declines in 4Q utilization rates at some MLCC factories has ended. The MLCC book-to-bill (BB) ratio has improved to 1.31, and management guides for a 80% increase in MLCC sales for AI servers in FY2026, with a utilization rate of 95% from 2Q onward. Both FY2026 guidance and the medium-term plan give us a conservative impression.

- **Earnings summary:** FY2025 operating profit was ¥20.0 billion (4Q: ¥3.5 billion), below guidance of ¥21.0 billion, the Bloomberg consensus estimate of 21.5 billion, and our estimate of ¥21.9 billion. Taiyo Yuden guides for FY2026 sales of ¥384.0 billion (+8% YoY) and operating profit of ¥30.0 billion (Bloomberg consensus estimate: ¥35.7 billion, our estimate: ¥37.7 billion) assuming forex at ¥150/\$. We find guidance conservative in areas including price assumptions and utilization rate impact. A question asked at the briefing raised concerns about the company's competitiveness in MLCCs for AI servers, and while management denied this, it left a negative impression. However, we expect the company to also reap benefits.
- **Key takeaways:** (1) **4Q operating profit** was below guidance, mainly because inventory declined ¥1 billion from end-3Q to end-4Q versus guidance for a ¥2 billion increase. This was a result of an overshoot in inductor sales, further reduction in communication device inventory, and lower-than-expected utilization rates at some MLCC facilities. MLCC utilization rates have stopped falling. (2) **MLCC:** 4Q BB ratio was 1.31, and orders rose sharply to ¥84.1 billion (+26% QoQ). The 4Q utilization rate was slightly below 85%, somewhat below guidance, but management guides for 90% in 1Q FY2026 and 95% from 2Q onward. It plans to increase capacity by 10%. It guides for FY2026 capacitor sales of ¥282 billion (+12% YoY), including 80% YoY growth in MLCC sales for AI servers. (3) **Factors behind YoY change in companywide profit:** Price decline impact (on a same product basis): FY2026 guidance: -¥18.9 billion versus -¥20.2 billion in FY2025; a gain from utilization rates: FY2026 guidance: ¥32.9 billion (inventory +¥8.0 billion) versus ¥30.7 billion (inventory +¥4.7 billion) in FY2025. On FY2026 price decline impact, management said guidance factors in some price hikes in some inductors and capacitors after a sharp rise in raw materials prices, but does not factor in all of them, and noted that the rate of price declines might be kept under control. FY2026 guidance for utilization rate impact conservatively includes around ¥5-10 billion in increased costs from factors including a sharp rise in precious metal prices and Middle East risk. (4) **Medium-term plan (at ¥140/\$):** Taiyo Yuden released a new medium-term plan through FY2030. It aims to meet the unmet goals in the previous medium-term plan, targeting FY2030 sales of ¥480 billion, an operating margin and ROE of 15%, and ROIC of 10%, and we find this too conservative. The plan targets five-year capex of ¥270 billion (with an equal amount of depreciation costs) and an MLCC capacity increase of 10% annually. It also targets FY2030 MLCC sales of ¥314 billion

Overweight

6976.T, 6976 JP
Price (08 May 26): ¥6,663
Price Target (Dec-26): ¥9,500

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versus FY2026 guidance of ¥282 billion, and we find this too conservative. For demand for MLCCs for AI servers, the plan forecasts CAGR of 32% through FY2030. For MLCCs for AI servers, the recent rapid growth acceleration has not been fully factored in, and the plan assumes a slowdown in growth rates in FY2029-30 due to uncertainties. Management maintained its current policy of a 30% dividend payout ratio and a 3.5% DOE and is considering raising DOE to 4.5% in the medium to long term.

Figure 1: Earnings forecast summary

6976 Taiyo Yuden	Sales		Operating Profits			Recurring profits		Net Profits		EPS	BPS	DPS	Capex	Dep.	R&D		
	JPY mn	YoY	JPY mn	YoY	OPM	JPY mn	YoY	JPY mn	YoY	JPY	JPY	JPY	JPY mn	JPY mn	JPY mn		
FY3/23	319,504	-8.62%	31,980	-53.12%	10.01%	34,832	-51.75%	23,216	-57.29%	186.3	2,556	90	50,489	34,903	12,678		
FY3/24	322,647	0.98%	9,079	-71.61%	2.81%	13,757	-60.50%	8,317	-64.18%	61.0	2,649	90	92,201	39,391	13,696		
FY3/25	341,438	5.82%	10,459	15.20%	3.06%	10,517	-23.55%	2,328	-72.01%	17.1	2,559	90	64,158	46,258	15,042		
FY3/26	Actual	355,341	4.07%	19,996	91.18%	5.63%	24,129	129.43%	14,806	536.00%	108.5	2,524	90	40,416	49,148	14,474	
FY3/26E	JPM	353,728	3.60%	21,860	109.01%	6.18%	25,291	140.48%	16,023	588.28%	117.4	2,597	90	46,092	48,828	14,604	
FY3/27E	JPM	386,396	9.24%	37,731	72.61%	9.76%	38,331	51.56%	23,965	49.56%	175.6	2,699	90	50,000	49,000	15,200	
FY3/28E	JPM	424,970	9.98%	74,269	96.84%	17.48%	74,869	95.32%	49,176	105.20%	360.3	3,004	90	52,000	51,000	16,000	
FY3/29E	JPM	464,836	9.38%	110,000	48.11%	23.66%	110,600	47.72%	73,830	50.13%	541.0	3,506	90	56,000	52,600	16,000	
FY3/26E	CoE 25/5	340,000	-0.42%	16,000	52.98%	4.71%	15,000	42.63%	8,000	243.64%	58.6	-	90	46,000	48,000	15,500	
FY3/26E	CoE 25/11	347,500	1.78%	18,000	72.10%	5.18%	15,000	42.63%	9,000	286.60%	65.9	-	90	46,000	48,000	15,500	
FY3/26E	CoE 26/2	354,000	3.68%	21,000	100.78%	5.93%	22,000	109.19%	13,000	458.42%	95.3	-	90	46,000	48,000	15,500	
FY3/27E	CoE 26/5	384,000	8.07%	30,000	50.03%	7.81%	27,000	11.90%	18,000	21.57%	131.9	-	90	40,000	48,000	15,000	
FY3/26E	BBG	354,223	3.86%	21,549	106.03%	6.08%	21,438	103.84%	14,627	528.30%	112.3	2,594	90	45,833	48,183	-	
FY3/27E	BBG	379,223	6.94%	35,682	65.59%	9.41%	36,290	69.28%	25,156	71.99%	194.9	2,675	91	50,167	49,600	-	
FY3/28E	BBG	412,530	8.78%	51,702	44.90%	12.53%	52,560	44.84%	37,434	48.81%	288.8	2,873	97	52,833	50,800	-	
FY3/25	1H	167,856	8.00%	7,576	253.52%	4.51%	6,759	7.51%	3,567	4.91%	26.1	2,400	45	30,080	21,925	7,328	
	2H	173,582	3.80%	2,883	-58.43%	1.66%	3,758	-49.69%	-1,239	-	-9.1	2,559	45	34,078	24,333	7,714	
FY3/26	1H	177,624	5.82%	9,024	19.11%	5.08%	8,106	19.93%	5,540	55.31%	40.6	-	45	19,597	23,486	7,185	
	2HE	176,104	1.45%	12,836	345.23%	7.29%	17,185	357.29%	10,483	-	76.8	-	-	26,495	25,342	7,419	
FY3/27	1HE	191,490	7.81%	17,087	89.35%	8.92%	17,387	114.49%	10,755	94.13%	78.8	-	-	25,000	23,900	7,600	
	2HE	194,906	10.68%	20,645	60.83%	10.59%	20,945	21.88%	13,210	26.01%	96.8	-	-	25,000	25,100	7,600	
FY3/28	1HE	208,444	8.85%	32,102	87.88%	15.40%	32,402	86.36%	21,116	96.33%	154.7	-	-	26,000	24,900	8,000	
	2HE	216,527	11.09%	42,167	104.25%	19.47%	42,467	102.76%	28,060	112.42%	205.6	-	-	26,000	26,100	8,000	
FY3/29	1HE	228,184	9.47%	51,493	60.40%	22.57%	51,793	59.84%	34,495	63.36%	252.8	-	-	28,000	25,700	8,000	
	2HE	236,652	9.29%	58,507	38.75%	24.72%	58,807	38.48%	39,335	40.18%	288.2	-	-	28,000	26,900	8,000	
FY3/26	1H	177,624	5.82%	9,024	19.11%	5.08%	8,106	19.93%	5,540	55.31%	472.0	27,654	45	19,597	23,486	7,185	
	2HE	169,376	-2.42%	8,976	211.34%	5.30%	6,894	83.45%	3,460	-379.26%	294.8	-	45	26,403	24,514	8,315	
FY3/26E	2HE	176,376	1.61%	11,976	315.40%	6.79%	13,894	269.72%	7,460	-	54.7	-	45	26,403	24,514	8,315	
	2H	Actual	177,717	2.38%	10,972	280.58%	6.17%	16,023	326.37%	9,266	-	67.9	2,524	45	20,819	25,662	7,289
FY3/25	1Q	81,138	11.74%	2,630	-	3.24%	8,377	622.78%	6,309	598.67%	46.2	2,505	-	14,980	10,548	3,641	
	2Q	86,718	4.71%	4,946	81.84%	5.70%	-1,618	-	-2,742	-	-20.1	2,400	-	15,100	11,377	3,687	
	3Q	86,868	0.56%	826	-83.14%	0.95%	6,926	492.47%	4,599	1566.30%	33.7	2,457	-	16,329	11,899	3,775	
	4Q	86,714	7.27%	2,057	1.03%	2.37%	-3,168	-	-5,838	-	-42.8	2,559	-	17,749	12,434	3,939	
FY3/26	1Q	84,810	4.53%	3,142	19.47%	3.70%	256	-96.94%	-876	-	-6.4	2,513	-	10,930	11,432	3,585	
	2Q	92,814	7.03%	5,882	18.92%	6.34%	7,850	-	6,416	-	47.0	2,602	-	8,667	12,054	3,600	
	3Q	88,515	1.90%	7,495	807.38%	8.47%	11,694	68.84%	7,086	54.08%	51.9	2,718	-	12,095	12,521	3,519	
	4QE	87,589	1.01%	5,341	159.64%	6.10%	5,491	-	3,397	-	24.9	-	-	14,400	12,821	3,900	
FY3/26	4QE	87,861	1.32%	4,481	117.84%	5.10%	2,200	-	374	-	2.7	-	-	14,308	11,993	4,796	
	4Q	Actual	89,202	2.87%	3,477	69.03%	3.90%	4,329	-	2,180	-	16.0	2,524	-	8,724	13,141	3,770
FY3/27	1QE	93,438	10.17%	7,379	134.86%	7.90%	7,529	2841.10%	4,574	-	33.5	-	-	12,500	11,800	3,800	
	2QE	98,052	5.64%	9,708	65.04%	9.90%	9,858	25.58%	6,181	-3.67%	45.3	-	-	12,500	12,100	3,800	
	3QE	101,874	15.09%	12,211	62.92%	11.99%	12,361	5.70%	7,908	11.60%	57.9	-	-	12,500	12,400	3,800	
	4QE	93,032	6.21%	8,433	57.90%	9.07%	8,583	56.32%	5,302	56.06%	38.8	-	-	12,500	12,700	3,800	
FY3/28	1QE	101,546	8.68%	14,119	91.34%	13.90%	14,269	89.52%	9,225	101.67%	67.6	-	-	13,000	12,300	4,000	
	2QE	106,897	9.02%	17,983	85.25%	16.82%	18,133	83.95%	11,891	92.38%	87.1	-	-	13,000	12,600	4,000	
	3QE	113,367	11.28%	22,813	86.82%	20.12%	22,963	85.77%	15,223	92.50%	111.5	-	-	13,000	12,900	4,000	
	4QE	103,159	10.89%	19,355	129.50%	18.76%	19,505	127.23%	12,837	142.14%	94.1	-	-	13,000	13,200	4,000	
FY3/29	1QE	111,720	10.02%	24,360	72.53%	21.80%	24,510	71.77%	16,291	76.60%	119.4	-	-	14,000	12,700	4,000	
	2QE	116,465	8.95%	27,133	50.88%	23.30%	27,283	50.46%	18,204	53.09%	133.4	-	-	14,000	13,000	4,000	
	3QE	123,808	9.21%	31,564	38.36%	25.49%	31,714	38.11%	21,262	39.67%	155.8	-	-	14,000	13,300	4,000	
	4QE	112,843	9.39%	26,943	39.21%	23.88%	27,093	38.90%	18,073	40.79%	132.4	-	-	14,000	13,600	4,000	

Source: Bloomberg Finance L.P. consensus, company data, J.P. Morgan estimates.

Investment Thesis, Valuation and Risks

Taiyo Yuden (6976) (*Overweight; Price Target: ¥9,500*)

Investment Thesis

We expect growth in demand for MLCCs for AI servers, which has grown rapidly, to lead to supply-demand tightening for MLCCs as a whole from FY2026 onward. As a result, we expect the pace of MLCC price declines to slow from 2H FY2026 onward and prices to stabilize heading into FY2027, accelerating earnings momentum.

Valuation

We base our December 2026 price target of ¥9,500 on our FY2028 EPS estimate of ¥541 (fully diluted) and a P/E of 17.6x, derived from the Bloomberg consensus-based sector average P/E of 15.9x as of April 21, and the stock's sector relative P/E of 1.1x based on two-year forward Bloomberg consensus estimates during the two previous MLCC cycle peaks in 2017–18 and 2020–21.

Risks to Rating and Price Target

Upside Scenario to Target Price/Rating

- Price hikes for MLCCs
- Inventory adjustment for automotive MLCCs ending early

Downside Scenario to Target Price/Rating

- Delay in MLCC supply-demand tightening
- Greater impact of a downturn in final demand due to memory shortage
- The AI cycle peaking out early

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Taiyo Yuden (6976) (6976.T, 6976 JP) Price Chart



Date	Rating	Price (Y)	Price Target (Y)
24-May-23	OW	4095	5,600
16-Aug-23	OW	4007	6,000
24-Jan-24	OW	3742	4,500
01-Apr-24	OW	3625	4,300
22-Jul-25	N	2628	2,500
14-Oct-25	N	3474	3,600
04-Dec-25	N	3699	3,700
03-Apr-26	OW	3861	5,700
23-Apr-26	OW	6264	9,500

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 24, 2001. All share prices are as of market close on the previous business day.
Break in coverage Jul 04, 2024 - Jul 22, 2025.

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